CoinPort Loyalty Points (CPP) — White Paper

Version: 1.0 **Date:** 2026-05-18 **Issuer:** CoinPort Exchange Pty Ltd **Network:** Ethereum mainnet (chain id 1) **Contract:** `0x37dAa811B668bf5d19692A7F79579B7BFaaB26A5`

Important notices

This is not an offer of securities. CoinPort Loyalty Points (CPP) are not sold, offered, or distributed in exchange for money or any other consideration. There has been no initial coin offering (ICO), private sale, presale, public sale, IDO, IEO, or fundraising round of any kind, and none is planned. CPP cannot be purchased.

CPP is not a financial product. CPP have no guaranteed monetary value, are not redeemable for fiat currency, do not confer ownership, equity, dividend, or voting rights, and are not traded on any secondary market. CPP have been designed specifically to fall outside the definition of "financial product" under the *Corporations Act 2001* (Cth) and outside the scope of speculative crypto-assets described in ASIC INFO 225.

This document is informational, not legal or financial advice. Participation in the CPP program is governed by the Terms & Conditions. Where this document and the T&Cs conflict, the T&Cs prevail.

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1. Executive summary

CoinPort Loyalty Points (CPP) is the closed-loop loyalty reward token operated by CoinPort Exchange, a licensed Virtual Asset Service Provider (VASP). CPP is earned by CoinPort members through trading activity and other forms of engagement with the CoinPort platform, and is redeemed within the CoinPort ecosystem for benefits such as free airdrops, trading rebates, priority support, and other member perks.

CPP is an ERC-20 token deployed on Ethereum L1 mainnet. The choice of Ethereum mainnet — rather than a private chain or an L2 — was made for transparency, durability, and interoperability with member-facing tooling such as Etherscan. The underlying token contract is real, public, and verifiable; however, the **program** operates as a closed-loop loyalty scheme: all CPP is custodied by CoinPort on members' behalf, balances are accounted for in the CoinPort member ledger, and redemption is processed exclusively through the CoinPort platform.

CPP does not exist to raise capital. It exists to give CoinPort's loyalty program a transparent, on-chain audit trail of supply and a credible, durable representation of member rewards — without the regulatory, taxation, and consumer-protection risks of issuing a tradeable cryptocurrency.

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2. The problem CPP solves

Exchanges have run loyalty programs for decades using internal database points. Database points have three persistent weaknesses:

1. **Opacity.** Members cannot independently verify the total points issued, the rate of issuance, or that the program operator is treating users fairly.

2. **Volatility of trust.** When a program operator changes terms, devalues points, or ends a program, members have no public record of what they earned and no way to evidence it externally.
3. **No audit surface.** Regulators, auditors, and partners must rely entirely on the operator's internal records.

Putting the loyalty unit on a public blockchain addresses all three: total supply is verifiable, every mint and burn is permanently logged, and the program operator's commitments are observable rather than opaque.

The trade-off is that "putting points on chain" can drift into "issuing a cryptocurrency" — which exposes operators and users to securities regulation, secondary-market formation, speculative trading, and taxation surprises. CPP is designed to capture the transparency benefits while avoiding that drift, through four binding design constraints described below.

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3. Design principles

CPP is bound by four design constraints. Each one is a deliberate choice that constrains the program's behaviour and is reflected in the smart contract, the operational model, the T&Cs, and the compliance framework.

3.1 Closed-loop only

CPP exists only inside the CoinPort ecosystem. CPP cannot be sent to external wallets, traded on a secondary market, swapped for other tokens, or used as payment outside CoinPort. The legal basis is the framing in ASIC INFO 225, under which a token's status as a "financial product" turns substantially on whether it trades on secondary markets.

3.2 No fiat conversion

CPP cannot be redeemed for cash. The redemption catalog contains only in-program benefits (rebates, airdrop allocations, member services, merchandise). This keeps CPP definitively outside the "currency" and "investment" framings.

3.3 Bounded redemption value

The maximum value of CPP redemptions per member is capped at **AUD $1,000 per calendar year** (GST inclusive). This cap is enforced at the application layer at redemption time. It both reinforces the program's loyalty-not-investment posture and bounds CoinPort's reporting obligations under the AML/CTF Act.

3.4 No profit expectation

CPP is marketed and operated as a rewards program, not as an investment opportunity. The redemption value is administrative and set by CoinPort; there is no implicit promise of appreciation, no fundraising history, and no market price discovery mechanism. The *Howey*-style "expectation of profit from the efforts of others" test that ASIC also references is structurally unsatisfied.

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4. Program model

4.1 Custodial accounting (Model B)

CPP operates under a **custodial model**: all minted CPP is held on-chain by a single CoinPort-controlled hot wallet (`0xfcE919e9A781b66b3Cf91A9F021aE2eF104D9256`). Individual member CPP balances are recorded in CoinPort's off-chain member ledger, not as per-member on-chain balances.

This choice has several consequences:

- **Members do not hold private keys to their CPP.** Members interact with CPP exclusively through their CoinPort account.
- **There is no "withdraw to external wallet" path.** This is by design — it is the operational expression of the closed-loop constraint.
- **The on-chain total supply remains a faithful record** of total CPP outstanding across all members.
- **Per-member earning and redemption events are recorded off-chain** in the member ledger; reconciliation between the off-chain ledger and the on-chain total is part of CoinPort's regular internal audit.

This model is conventional for compliant, custodial loyalty programs and is similar to how airline miles, retailer rewards, and exchange points programs operate — with the addition of a public, on-chain supply record.

4.2 Earning

CPP is earned only through engagement with the CoinPort platform. There is no purchase path. The current earning channels are:

- **Trading volume** — tiered multipliers based on rolling daily AUD-equivalent volume.
- **Asset-held balances** — APR-equivalent accrual on qualifying held assets, with tiered rates for longer holding commitments.
- **Activity** — login streaks, profile verification, and similar engagement actions.
- **Referrals** — a share of trading-fee-based reward for referred new members.
- **Special events** — competitions, beta testing, and community participation.

Earning rates and caps are published on the CoinPort platform and may change with **30 days' advance notice** to members. Earning is subject to anti-gaming controls (see §6).

4.3 KYC-tiered limits

Earning capacity is bound by the member's KYC tier:

KYC Tier	Verification	Max monthly earning	Max balance
Basic	Email + phone	100 CPP	1,000 CPP
Standard	Government photo ID	10,000 CPP	100,000 CPP
Enhanced	Source-of-wealth documentation	Unlimited	Unlimited

These limits are enforced before each mint event — not retroactively — and are required by CoinPort's AML/CTF program under the AUSTRAC framework.

4.4 Redemption

CPP is redeemed within the CoinPort platform for benefits including:

- **Free airdrops** — allocations in CoinPort-listed airdrop events.
- **Trading rebates** — discounts applied against trading fees (the most common redemption use).
- **Member benefits** — priority support, exclusive feature access, API rate-limit increases, launchpad whitelist allocations, and approved merchandise.

Redemption is irreversible. Redeemed CPP is permanently burned at the smart-contract level, reducing the on-chain total supply. The redemption catalog is published on the CoinPort platform and is subject to change with 30 days' advance notice.

The AUD $1,000 / calendar year cap applies to the aggregate AUD-equivalent value of all redemptions by a single member across all categories.

4.5 Expiration

CPP allocated to a member expires after **24 months of account inactivity**, with at least 30 days' prior notice. Inactivity is defined as no login and no trading activity over the 24-month window. Expiration reinforces CPP's status as a contingent benefit, not property.

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5. Supply schedule

CPP supply is bounded and predictable:

Period	Cumulative supply cap
Year 1	100M CPP
Year 2	125M CPP (+25M)
Year 3	140M CPP (+15M)
Year 4–7 (terminal cap)	up to 200M CPP

In addition:

- **Monthly minting cap:** 2M CPP, enforced operationally.
- **Initial launch allocation:** 5M CPP minted at deployment, held by the cold treasury for launch promotions and initial program funding.
- **No team allocation. No investor allocation. No founder allocation.** CPP has no insiders; all CPP enters circulation through member earning.
- **Deflationary pressure:** every redemption burns CPP, reducing the on-chain total supply.
- **Emergency pause:** minting can be paused by the multi-sig pauser role if monthly inflation exceeds 5%, or in response to any abuse, exploit, or compliance incident.

The supply schedule is parametric: the 200M terminal cap is the binding contractual ceiling, while annual additions within that cap are operationally governed.

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6. Anti-gaming and integrity controls

CPP earning is subject to controls designed to prevent abusive accrual:

- **Wash-trade detection** at the trade-matching layer; coordinated self-matching is excluded from CPP-eligible volume.
- **Minimum trade size and minimum hold time** for CPP-eligible trades.
- **Velocity limits:** maximum 8 CPP-earning events per member per day; maximum 10,000 CPP earned per member per day.
- **Manual review threshold:** members earning more than 50,000 CPP in any rolling 30-day window are flagged for review.
- **Account-level limits** enforced by KYC tier.

Members determined to have gamed the program may have CPP voided, accounts suspended, and reports filed with regulators as required.

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7. Technical architecture

7.1 Token standard

CPP is an **ERC-20** token with the following extensions:

- **ERC-20 Mintable** — controlled minting by the loyalty engine.
- **ERC-20 Burnable** — destruction of CPP on redemption.
- **ERC-20 Pausable** — emergency halt of all CPP transfers and mints.
- **ERC-20 Permit (EIP-2612)** — meta-transaction approvals.
- **AccessControl** — role-based privilege separation, replacing single-owner control.

The implementation contract was scaffolded with the OpenZeppelin Contracts Wizard and audited against OpenZeppelin's standard library. CPP-specific compliance features — supply cap, role gating, freeze controls, and the closed-loop guard mechanism — are layered on top of the Wizard-generated base.

7.2 Upgradeability

CPP uses the **OpenZeppelin transparent proxy** pattern. The address members and integrators reference (`0x37dAa811B668bf5d19692A7F79579B7BFaaB26A5`) is the proxy; the implementation behind it can be upgraded by the admin multi-sig. The upgrade window is intended to be limited to the first 12–18 months of program operation, after which the contract is expected to be made effectively immutable.

The proxy admin is the cold admin multi-sig (see §7.4). No single party — including any CoinPort employee — has unilateral upgrade authority.

7.3 Custody and minting

All minted CPP is sent to the CoinPort hot wallet at `0xfcE919e9A781b66b3Cf91A9F021aE2eF104D9256`. Per-member balances are not minted directly to per-member on-chain addresses; they are tracked in the CoinPort member ledger. This is the on-chain expression of Model B custody (§4.1).

The hot wallet holds **only** the `MINTER_ROLE` — it cannot pause the contract, change admin, freeze accounts, or perform compliance transfers. Compromise of the hot wallet would allow new CPP to be minted up to the supply cap, but would not allow any other privileged action.

7.4 Role separation (multi-sig)

CPP uses four distinct privileged roles, each held by a separate 3-of-5 Safe{Wallet} multi-sig:

Role	Function
`DEFAULT_ADMIN_ROLE` (cold admin)	Grants/revokes other roles; controls proxy upgrades
`MINTER_ROLE` (loyalty hot wallet)	Issues new CPP per the earning engine
`PAUSER_ROLE`	Halts transfers/mints in emergency
`COMPLIANCE_ROLE`	Account freezes, unfreezes, and complianceTransfer for court orders, sanctions enforcement, and error correction

No single signer on any multi-sig can take a privileged action alone; every action requires a majority of signers across geographically and organisationally distributed key-holders. Keys are held in hardware wallets.

7.5 Compliance functions

The contract supports two compliance primitives required for regulated operation:

- **Address freeze / unfreeze** — held by `COMPLIANCE_ROLE`. Used to suspend a specific address (e.g. a hot wallet flagged in a sanctions update). Members in the custodial model do not have per-address frozen states because they do not have per-address balances; freeze is a contract-administration tool.
- **`complianceTransfer`** — held by `COMPLIANCE_ROLE`. Allows movement of CPP between addresses for court orders, sanctions enforcement, and error correction. All compliance transfers emit indexed events for audit.

These functions are intentionally narrow. They cannot be used for ordinary program operations.

7.6 Verification

The contract source code is verified on Etherscan, both for the proxy and for the current implementation. Members and integrators can:

- Read the token's total supply, paused state, and role assignments directly from the contract.
- Audit every mint and burn from the contract's event log.
- Confirm that the deployed bytecode matches the published source.

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8. Operational model

8.1 Daily mint cycle

The loyalty engine processes earning events in a daily cycle:

1. **00:00 UTC** — snapshot of qualifying member activity from the prior day.
2. **00:00–02:00 UTC** — validation, anti-gaming checks, KYC-tier limit enforcement, AML monitoring.
3. **02:00 UTC** — single mint transaction from the hot wallet, increasing total supply by the validated aggregate. The CoinPort member ledger is updated with per-member allocations.

This design minimises on-chain gas cost (one transaction per day, not one per member per event) while maintaining a complete public record of program supply.

8.2 Redemption cycle

Redemption is processed in near-real-time at the application layer; the corresponding on-chain burn happens via batched burn transactions from the hot wallet. The off-chain member ledger updates atomically; the on-chain burn lags but reconciles within the same operational cycle.

8.3 Reconciliation

Continuous reconciliation between the on-chain CPP supply and the sum of member-ledger balances is part of routine internal audit. Any reconciliation gap is investigated and resolved on the operational cycle in which it is discovered.

8.4 Reporting

- **Annual member statements** — CPP redemption values in AUD equivalent are reported to each Australian member by 14 July for the prior financial year.
- **AUSTRAC reporting** — large or suspicious redemption activity is reported via Suspicious Matter Reports (SMRs) and Threshold Transaction Reports per the AML/CTF Act.
- **Regulator engagement** — CoinPort maintains ongoing engagement with ASIC, AUSTRAC, and ATO regarding the CPP program structure.

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9. Regulatory framework

CPP operates in Australia under the regulatory framework summarised here. For full detail, see `compliance.md` and `legal.md`.

9.1 ASIC — "not a financial product"

The four design constraints in §3 collectively keep CPP outside the *Corporations Act 2001* definition of a financial product. CoinPort does not hold an AFSL for the CPP program because the program is not a financial service.

9.2 AUSTRAC — AML/CTF

CoinPort is a registered Virtual Asset Service Provider (VASP) with AUSTRAC and operates under the AML/CTF Act 2006. (The VASP regime replaced the earlier Digital Currency Exchange registration framework in Australia.) CPP is integrated into CoinPort's AUSTRAC-approved AML/CTF Program:

- KYC at all earning tiers.
- Transaction monitoring of CPP earning and redemption events.
- Threshold Transaction Reports and Suspicious Matter Reports as required.

The closed-loop, no-fiat-conversion design means CPP itself is **not** a virtual asset within the scope of the VASP regime, but its activity is monitored under the same AML/CTF Program.

9.3 ATO — taxation

- Member redemptions may constitute assessable income under TR 2005/15.
- Fee-discount redemptions are treated as a reduction in CoinPort's revenue under GSTR 2014/3; GST is calculated on the discounted fee.
- Merchandise and digital-goods redemptions are taxable supplies; GST applies on market value.
- Members are responsible for declaring their own tax obligations.

9.4 ACCC — consumer law

CoinPort provides earning-time disclosures (estimated CPP, no cash value, redemption caps, tax implications) compliant with the Australian Consumer Law. ACL consumer guarantees are not waivable by the T&Cs.

9.5 Privacy

CPP-related data is handled under CoinPort's Privacy Policy, in compliance with the Australian Privacy Principles (Privacy Act 1988).

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10. Risks and limitations

10.1 Program risks

- **Program changes:** Earning rates, redemption catalog, and program terms may change with 30 days' notice. Members should not treat CPP balances as a fixed-value entitlement.
- **Program termination:** CoinPort may end the program with at least 90 days' notice. Members will have that window to redeem.
- **Expiration:** Inactive balances expire (§4.5).
- **Custodial risk:** Because CPP is custodial, members rely on CoinPort to honour their member-ledger balance. CoinPort's exchange-grade custody controls apply.

10.2 Smart-contract risks

- **Upgrade authority exists** for the first 12–18 months. While protected by multi-sig and intended to be retired, upgrade authority means the contract's behaviour is not strictly immutable today.
- **Pause authority exists.** A pause halts CPP movement; it does not affect off-chain member balances.
- **Compromise of any role multi-sig** would compromise the corresponding privilege. Multi-sig and geographically distributed key custody substantially reduce, but do not eliminate, this risk.

10.3 Regulatory risks

- **Regulatory change.** Australian regulators may change their position on loyalty tokens; CoinPort may need to amend the program in response.
- **Cross-border use.** Non-Australian members are responsible for the application of their local laws.
- **Future program changes** that materially alter the four design constraints (§3) would require fresh legal review before implementation.

10.4 What CPP is not

To be unambiguous:

- CPP is **not an investment.** Do not expect profit.

- CPP is **not a cryptocurrency for payments outside CoinPort.** It cannot be spent elsewhere.
- CPP is **not a stablecoin.** It has no peg.
- CPP is **not a governance token.** Holding CPP does not confer voting rights over CoinPort.
- CPP is **not for sale.** There is no purchase path, public or private.

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11. Roadmap

The CPP roadmap is intentionally narrow. The program is a loyalty scheme, not a product line.

- **Phase 1 (current):** Earning channels live (trading volume, holding, activity, referral). Redemption catalog live for trading rebates and member benefits. Daily batch processing operational.
- **Phase 2:** Expansion of the redemption catalog to include free airdrops in CoinPort-listed events, and launchpad-allocation whitelisting. Anti-gaming refinement.
- **Phase 3:** Maturation. Once the program is operationally stable, the contract is expected to be made effectively immutable by retiring the upgrade authority.

The earlier design literature (`actions.md`, `standard.md`) contemplated a future "two-token" governance extension. **That is not a roadmap commitment.** Any move in that direction would require a fresh legal opinion and would be communicated to members in advance; it would likely require restructuring of the program and is outside the scope of CPP as documented in this white paper.

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12. Governance of program changes

CPP is a CoinPort-operated program. There is no on-chain governance, no member voting, no DAO. Program changes are decided by CoinPort and communicated to members with the required notice periods (typically 30 days for earning/redemption changes, 90 days for program termination).

Material changes to the four design constraints in §3 — for example, enabling external transfers or fiat redemption — would constitute a fundamental change to the program's regulatory posture and would not be made without external legal review and member notice.

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13. References and contact

Source documents (this repository)

- `terms.md` — binding member Terms & Conditions.
- `earning.md` — earning mechanics specification.
- `compliance.md` — Australian compliance framework.
- `legal.md` — internal legal-situation summary.
- `actions.md` — original implementation blueprint.
- `standard.md` — token-standard selection rationale.
- `docs/deploy.md` — deployment procedure of record.

Contract and addresses

Token contract (proxy)	`0x37dAa811B668bf5d19692A7F79579B7BFaaB26A5`

Hot wallet (`MINTER_ROLE`)	`0xfcE919e9A781b66b3Cf91A9F021aE2eF104D9256`
Network	Ethereum mainnet (chain id 1)
Standard	ERC-20 + Mintable + Burnable + Pausable + Permit + AccessControl, transparent proxy

Issuer

CoinPort Pty Ltd Website: https://www.coinport.com.au Program contact: network@coinport.exchange

For terms, dispute resolution, AFCA membership details, and other contact information, refer to `terms.md` §16.

This document is informational. The binding rules of the CPP program are set out in `terms.md`. Where this document and the T&Cs conflict, the T&Cs prevail. This document does not constitute legal, financial, tax, or investment advice.